



NEW MEXICO ASSOCIATION OF REALTORS® — 2025
ADDENDUM NO. _____
SEPTIC SYSTEM CONTINGENCY ADDENDUM



This Addendum is part of the ☐ Residential ☐ Commercial ☐ Vacant Land ☐ Farm and Ranch Purchase Agreement dated _____, between _____ (“Buyer”) and _____ (“Seller”) and relating to the following property:

Address _____

City _____

Zip Code _____

Legal Description

Or see metes & bounds description attached as Exhibit _____, _____ County(ies), New Mexico.

The transfer of the Property is subject to Regulations of the State of New Mexico Environment Department (“NMED”) governing on-site liquid waste systems. The Seller represents that the Property includes an on-site liquid waste system. This Agreement is contingent upon Buyer’s satisfaction with the legal status and physical condition of the on-site liquid waste system and its suitability for Buyer’s purpose.

1. **EVALUATION.** Except as noted below, NMED regulations require the Seller to have the on-site liquid waste system evaluated prior to transfer. (“Evaluation”). Per NMED regulations, the date of transfer of the Property is the date the deed transferring the property is recorded. In the event the Property is being sold on a Real Estate Contract (“REC”), the date of transfer is the date equitable title to the Property is transferred to the Buyer, which is the date the REC is fully executed. There is no provision in the NMED regulations for the Buyer to waive the Evaluation. Refer to the NMAR Septic Information Sheet, Form 2308 for information on the appropriate person or entity to conduct the Evaluation.
 - A. If a new or modified system had a final evaluation with final approval within 180 days prior to the date of transfer or an existing system has had an Evaluation within 180 days prior to the date of transfer, a new Evaluation is NOT required. If an existing report is being provided, Seller shall provide the report to Buyer within five (5) days of Date of Acceptance of this Agreement.
 - B. Notwithstanding any other provision of the Purchase Agreement, if a new Evaluation is being conducted, it must be conducted no later than _____ (“Evaluation Deadline”). **NOTE: Per NMED regulations, if a new Evaluation is being conducted, it must be conducted within 180 days prior to the transfer of the Property. If the Evaluation is conducted more than 180 days prior to the transfer of the Property, an additional Evaluation may be required by NMED prior to transfer of the Property.**
 - i. ☐ Buyer ☐ Seller will order and pay for an Evaluation. Regardless of who orders and pays for the evaluation, buyer has the right to select the evaluator.
 - ii. The party ordering the new Evaluation shall be responsible for ensuring the evaluator delivers a copy of the Evaluation to BOTH parties within _____ days of the Evaluation.
2. **DELIVERY OF DOCUMENTS.** Seller will deliver to Buyer the liquid waste permit or permits and any approvals from the New Mexico Environment Department and any other information in Seller’s possession relating to the Property’s on-site liquid waste system within five (5) days of the Date of Acceptance of this Agreement.

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- 3. OBJECTIONS.** Buyer may make objections based on the following: 1) any report or any unsatisfactory condition, defects or limitations; 2) the unsuitability of the septic system for Buyer's immediate or long-term purposes; and/or 3) lack of certification or permit. Buyer must submit objections in writing to Seller no later than _____ (**"Objection Deadline"**). Objections must be accompanied by a copy of the report, evaluation, Determination Letter or other material upon which Buyer relies. Upon objection, Buyer may request that Seller cure the objection(s) or Buyer may terminate this Agreement. In the event of termination, Earnest Money will be refunded to Buyer. If no written objection or termination is delivered to Seller by the Objection Deadline, this contingency shall be deemed waived.
- 4. RESOLUTION.** If Buyer makes specific objections and requests Seller to cure, Seller and Buyer may negotiate a resolution. If the objections are not resolved by _____ (**Resolution Deadline**), this Agreement is terminated and the Earnest Money will be refunded to Buyer.
- 5. NOTICE TO BUYER REGARDING ADVANCED TREATMENT SYSTEMS.** If the Property has an Advanced Treatment System, the Buyer will, no later than the Settlement Date, enter into a maintenance agreement with a Maintenance Service Provider approved by the New Mexico Environment Department and file a notice of change of ownership of the system on the form provided by the New Mexico Environment Department.

This Addendum is incorporated into the Purchase Agreement referenced above.

BUYER(S)

_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time
_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time

SELLER(S)

_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time
_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time

If additional signature lines are needed, please use NMAR Form 1150 – Signature Addendum